

CPAR

CPA REVIEW SCHOOL OF THE PHILIPPINES

Manila

MANAGEMENT ADVISORY SERVICES

First Pre-board Examination

February 6, 2026
8:00 Am to 11:00 Am

Set A

Instructions: Choose the BEST answer for each of the following items. Mark only one answer for each item on the Special Answer Sheet provided. Strictly no erasure allowed. Use Pencil No. 2 only.

1. Management accounting
 - a. focuses on estimating future events, costs, and other measures to forecast activities and their results.
 - b. provides information about the company as a whole.
 - c. reports information that has occurred in the past that is verifiable and reliable.
 - d. provides information that is generally available only on a quarterly or annual basis.
2. A budget can serve
 - a. as a planning tool
 - b. as a control tool
 - c. as a basis for preparing financial statements.
 - d. both as a planning tool and as a control tool
3. Which of the following groups would be least likely to receive detailed management accounting reports?
 - a. stockholders
 - b. sales department supervisors
 - c. production supervisors
 - d. managers
4. The Internet and the World Wide Web are primarily used to
 - a. create performance reports.
 - b. collect cost data.
 - c. enhance contact with customers and suppliers.
 - d. prepare budget information.
5. Which of the following types of information are used in management accounting?
 - a. Financial information
 - b. Nonfinancial information
 - c. Information focused on the long-term
 - d. All of the above
6. Which of the following statements refers to management accounting information?
 - a. There are no regulations governing the reports.
 - b. The reports are generally delayed and historical.
 - c. The audience tends to be stockholders, creditors, and tax authorities.
 - d. It primarily measures and records business transactions.
7. Ethical challenges for management accountants include
 - a. whether to accept gifts from suppliers, knowing it is an effort to indirectly influence decisions.
 - b. whether to report unfavorable department information that may result in unfavorable consequences for a friend.
 - c. whether to file tax return this year.
 - d. both a and b.

8. The Standards of Ethical Standard for management accountants include concepts related to
- competence, performance, integrity, and reporting.
 - competence, confidentiality, integrity, and credibility.
 - experience, integrity, reporting, and objectivity.
 - none of the above as ethical issued do not affect management accountants.
9. The cost management information system is concerned with
- reporting financial information according to GAAP.
 - providing cost information that is used in planning, control, and decision-making.
 - reporting to external users.
 - providing financial information to investors.
10. Mr. A and Ms. B are two CPAs with different specializations. Mr. A summarizes the transactions of his client in order to prepare reports for external users, while Ms. B uses such information to aid her clients in becoming more profitable. Ms. B is most likely be practicing:
- Auditing
 - Managerial Accounting
 - Financial Accounting
 - Taxation
11. Which of the following is not a product cost component?
- rent on a factory building
 - indirect production labor wages
 - janitorial supplies used in a factory
 - commission on the sale of a product
12. An outlier is
- something that happens outside the organization that does not affect production.
 - always used in analyzing a mixed cost.
 - something that happens inside the organization that does not affect production.
 - never used in analyzing a mixed cost.
13. A company has gathered information on utility costs for the past year. The controller has decided that utilities are a function of the hours worked during the month. The following information is available and representative of the company's utility costs:

	<u>LOW POINT</u>	<u>HIGH POINT</u>
Hours worked	1,300	1,680
Utility cost incurred	₱903	₱1,074

If 1,425 hours are worked in a month, total utility cost (rounded to the nearest peso) using the high-low method should be:

- ₱947
 - ₱954
 - ₱959
 - ₱976
14. A company uses a predetermined overhead application rate of ₱0.30 per direct labor hour. During the year it incurred ₱345,000 of actual overhead, but it planned to incur ₱360,000 of overhead. The company applied ₱363,000 of overhead during the year. How many direct labor hours did the company plan to use?
- 1,150,000
 - 1,190,000
 - 1,200,000
 - 1,210,000
15. A company has developed the following flexible budget formula for monthly overhead:

For output less than 200,000 units: ₱36,600 + ₱0.80x
 For output of 200,000 units or more: ₱43,000 + ₱0.80x

Where x = number of units

How much overhead should the company expect if it plans to produce 200,000 units?

- a. ₱52,600
- b. ₱59,000
- c. ₱196,600
- d. ₱203,000

16. A company is exploring different prediction models that can be used to forecast indirect labor costs. One independent variable under consideration is machine hours. Following are matching observations on indirect labor costs and machine hours for the past six months:

<u>MONTH</u>	<u>MACHINE HOURS</u>	<u>INDIRECT LABOR COSTS</u>
1	300	₱20,000
2	400	24,000
3	240	17,000
4	370	22,000
5	200	13,000
6	225	14,000

In a high-low model, which months' observations would be used to compute the model's parameters?

- a. 2 and 5
- b. 1 and 6
- c. 2 and 6
- d. 4 and 5

ITEMS 17 AND 18 ARE BASED ON THE FOLLOWING:

A company produces a specialty item. Management has provided the following information:

Actual sales	60,000 units
Budgeted production	50,000 units
Selling price	₱40 per unit
Direct materials cost	₱10 per unit
Variable manufacturing overhead	₱3 per unit
Variable administrative costs	₱5 per unit
Fixed manufacturing overhead	₱4 per unit

17. What is the cost per unit of product if throughput costing is used?

- a. ₱22
- b. ₱19
- c. ₱15
- d. ₱10

18. What is the total throughput contribution?

- a. ₱1,500,000
- b. ₱1,620,000
- c. ₱1,380,000
- d. ₱1,800,000

ITEMS 19 to 22 ARE BASED ON THE FOLLOWING:

A company has the following standard costs associated with the manufacture and sale of one of its products:

Direct materials	₱3.00 per unit
Direct labor	₱2.50 per unit
Variable manufacturing overhead	₱1.80 per unit
Fixed manufacturing overhead (based on an estimate of 50,000 units per year)	₱4.00 per unit
Variable selling expenses	₱0.25 per unit
Fixed SG & A expenses	₱75,000 per year

During its first year of operations, the company manufactured 51,000 units and sold 48,000 units. The selling price per unit was ₱25. All costs are equal to standard.

19. Under absorption costing, the standard production cost per unit for the current year was:
- a. ₱11.30
 - b. ₱ 7.30
 - c. ₱11.55
 - d. ₱13.05
20. The volume variance under absorption costing is
- a. ₱8,000 favorable
 - b. ₱4,000 favorable
 - c. ₱4,000 unfavorable
 - d. ₱8,000 unfavorable
21. Under variable costing, the standard production cost per unit for the current year was
- a. ₱11.30
 - b. ₱ 7.30
 - c. ₱ 7.55
 - d. ₱11.55
22. Based on variable costing, the income before income taxes for the year was
- a. ₱570,600
 - b. ₱560,000
 - c. ₱562,600
 - d. ₱547,500
23. Standard costs
- a. are estimates of costs attainable only under the most ideal conditions.
 - b. are difficult to use with a process cost system.
 - c. can, if properly used, help motivate employees.
 - d. require that significant unfavorable variances be investigated, but do not require that significant favorable variances be investigated.
24. A total variance is best defined as the difference between total
- a. actual cost and total cost applied for the standard output of the period.
 - b. standard cost and total cost applied to production.
 - c. actual cost and total standard cost of the actual input for the period.
 - d. actual cost and total cost applied for the actual output of the period.
25. If all sub-variances are calculated for labor, which of the following cannot be determined?
- a. labor rate variance.
 - b. actual hours of labor used.
 - c. reason for the labor variances.
 - d. efficiency of the labor force.
26. In a standard cost system, when production is greater than the estimated unit or denominator level of activity, there will be a(n)
- a. unfavorable capacity variance.
 - b. favorable material and labor usage variance.
 - c. favorable volume variance.
 - d. unfavorable manufacturing overhead variance.

ITEMS 27 TO 30 ARE BASED ON THE FOLLOWING:

The following information is for a company:

Standards:

Materials	3.0 feet per unit @ ₱4.20 per foot
Labor	2.5 hours @ ₱7.50 per hour

Actual:

Production	2,750 units during the month
Materials	8,700 feet used; 9,000 feet purchased @ ₱4.50 per foot
Labor	7,000 direct labor hours @ ₱7.90 per hour

Round all answers to the nearest peso.

27. What is the materials price variance (calculated at point of purchase)?
- ₱2,700 U
 - ₱2,700 F
 - ₱2,610 F
 - ₱2,610 U
28. What is the materials quantity variance?
- ₱3,105 F
 - ₱1,050 F
 - ₱3,105 U
 - ₱1,890 U
29. What is the labor rate variance?
- ₱3,480 U
 - ₱3,480 F
 - ₱2,800 U
 - ₱2,800 F
30. What is the labor efficiency variance?
- ₱1,875 U
 - ₱ 938 U
 - ₱1,875 F
 - ₱1,125 U
31. Actual fixed overhead is ₱33,300 (12,000 machine hours) and fixed overhead was estimated at ₱34,000 when the predetermined rate of ₱3.00 per machine hour was set. If 11,500 standard hours were allowed for actual production, applied fixed overhead is
- ₱33,300
 - ₱34,000
 - ₱34,500
 - ₱36,000
32. One unit requires 2 direct labor hours to produce. Standard variable overhead per unit is ₱1.25 and standard fixed overhead per unit is ₱1.75. If 330 units were produced this month, what total amount of overhead is applied to the units produced?
- ₱ 990
 - ₱1,980
 - ₱660
 - ₱ 6
33. A company uses a standard cost accounting system. The following overhead cost and production data are available for a certain month:

Standard fixed overhead per direct labor hour	₱1
Standard variable overhead per direct labor hour	₱4
Budgeted monthly direct labor hours	40,000
Actual direct labor hours worked	39,500
Standard direct labor hours allowed for actual production	39,000
Overall overhead variance – favorable	₱2,000

The total applied manufacturing overhead for the month should be

- ₱195,000
 - ₱197,000
 - ₱197,500
 - ₱199,500
34. A company uses a standard cost system and prepared the following budget at normal capacity for a certain month:

Direct labor hours	24,000
Variable overhead	₱48,000
Fixed overhead	₱108,000
Total overhead per direct labor hour	₱6.50

Actual data for the month were as follows:

Direct labor hours worked	22,000
Total overhead	₱147,000
Standard direct labor hour for capacity attained	21,000

Using the two-way analysis of overhead variances, which is the controllable variance for the month?

- a. ₱3,000 F
- b. ₱5,000 F
- c. ₱9,000 F
- d. 10,500 U

35. The following information is available from a company:

Actual factory overhead cost	₱15,000
Actual fixed factory overhead cost	₱7,200
Budgeted fixed factory overhead cost	₱7,000
Actual hours	3,500
Standard hours	3,800
Variable overhead rate per direct labor hour	₱2.50

Assuming that the company uses a three-way analysis of overhead variances, what is the total overhead spending variance?

- a. ₱750 F
- b. ₱750 U
- c. ₱ 950 F
- d. ₱1,500 U

36. Cost-volume-profit (CVP) analysis is a technique available to management to understand better the interrelationships of several factors that affect a firm's profit. As with many such techniques, the accountant oversimplifies the real world by making assumptions. Which of the following is not a major assumption underlying CVP analysis?

- a. All costs incurred by a firm can be separated into their fixed and variable components.
- b. The product selling price per unit is constant at all volume levels.
- c. Operating efficiency and employee productivity are constant at all volume levels.
- d. For multi-product situations, the sales mix can vary at all volume levels.

37. Cost-volume- profit relationships that are curvilinear may be analyzed linearly by considering only

- a. fixed and mixed costs.
- b. relevant fixed costs.
- c. relevant variable costs.
- d. a relevant range of volume.

38. If a firm's net income does not change as its volume changes, the firm('s)

- a. must be in the service industry
- b. must have no fixed costs.
- c. sales price must equal ₱0.
- d. sales price must equal its variable costs

39. In a multi-product firm, the product that has the highest contribution margin per unit will

- a. generate more profit for each ₱1 of sales than the other products.
- b. have the highest contribution margin ratio.
- c. generate the most profit per unit sold.
- d. have the lowest variable costs per unit.

40. The margin of safety is a key concept of cost-volume-profit (CVP) analysis. The margin of safety is the

- a. contribution margin rate.
- b. difference between budgeted contribution margin and actual contribution margin.
- c. difference between budgeted contribution margin and break-even contribution margin.
- d. difference between budgeted sales and break-even sales.

Prime cost	₱ 49
Variable indirect manufacturing cost	6
Fixed factory overhead cost (based on 10,000 units per month)	5
Variable selling and administrative cost	4
Fixed selling and administrative cost	2.80

The projected sales price is ₱80 per unit. The fixed costs remain fixed within the relevant range of 4,000 to 16,000 units of production and sales. All variances are charged to Cost of Goods Sold each month.

Management has projected the following unit data for June:

Beginning inventory	2,000
Production	<u>9,000</u>
Available	11,000
Sales	<u>7,500</u>
Ending inventory	<u>3,500</u>

46. Operating income under absorption costing amounts to

- | | |
|------------|------------|
| a. ₱87,000 | c. ₱94,000 |
| b. ₱92,000 | d. ₱99,000 |

47. Operating income under variable costing amounts to

- | | |
|-------------|------------|
| a. ₱ 86,500 | c. ₱79,500 |
| b. ₱157,500 | d. ₱99,000 |

48. In a global economy,

- the trade of goods and services is focused on trade between or among countries on the same continent.
- the international movement of labor is prohibited except for multilingual persons.
- the international flows of capital and information are common.
- all of the above happen in a global economy.

49. You obtain the following information regarding fixed production costs from a manufacturing firm for fiscal year 2026:

Fixed costs in the beginning inventory	₱ 16,000
Fixed costs incurred this period	100,000

Which of the following statements is not true?

- The maximum amount of fixed production costs that this firm could deduct using absorption costing in 2026 is ₱116,000.
- The amount of fixed production costs that this firm could deduct using variable costing in 2026 is ₱100,000.
- Using variable costing, this firm will deduct no more than ₱16,000 for fixed production costs.
- If this firm produced substantially more units than it sold in 2026, variable costing will probably yield a lower income than absorption costing.

50. The sum of the material price variance (calculated at point of purchase) and material quantity variance equals

- | | |
|-------------------------------|---------------------------------|
| a. the total cost variance. | c. the material yield variance. |
| b. the material mix variance. | d. no meaningful number. |

ITEMS 51 TO 53 ARE BASED ON THE FOLLOWING:

A company has made the following information available for its production facility for June 2026. Fixed overhead was estimated at 19,000 machine hours for the production cycle. Actual machine hours for the period were 18,900, which generated 3,900 units.

Material purchased (80,000 pieces)	₱314,000
Material quantity variance	₱ 6,400 U
Machine hours used	18,900 hours
VOH spending variance	₱ 50 U
Actual fixed overhead	₱60,000
Actual labor cost	₱40,120
Actual labor hours	5,900

The company's standard costs are as follows:

Direct material	20 pieces @ ₱4 per piece
Direct labor	1.5 hours @ ₱6 per hour
Variable overhead	
(applied on a machine hour basis)	4.8 hours @ ₱2.50 per hour
Fixed overhead	
(applied on a machine hour basis)	4.8 hours @ ₱3 per hour

51. The materials price variance is:

- | | |
|-------------|-------------|
| a. ₱6,000 F | c. ₱5,850 F |
| b. ₱5,970 F | d. ₱6,400 U |

52. The conversion cost efficiency variance is:

- | | |
|-----------|-------------|
| a. ₱300 U | c. ₱ 450 U |
| b. ₱750 U | d. ₱3,750 U |

53. The fixed overhead noncontrollable variance is:

- | | |
|-----------|-----------|
| a. ₱540 U | c. ₱300 U |
| b. ₱150 U | d. ₱840 U |

54. In a recent period, a company incurred ₱20,000 of fixed manufacturing overhead and deducted ₱30,000 of fixed manufacturing overhead. The company must be using

- | | |
|------------------------|----------------------|
| a. absorption costing. | c. direct costing. |
| b. variable costing. | d. standard costing. |

55. The motive for holding money to use in making planned exchanges is called the:

- | | |
|------------------------|-------------------------|
| a. transactions motive | c. portfolio motive |
| b. liquidity motive | d. precautionary motive |

56. To compute the break-even point per unit, which of the following formulas is used?

- | | |
|-------------------|----------------------|
| a. FC/CM per unit | c. (FC+VC)/CM ratio |
| b. FC/CM ratio | d. None of the above |

Where:

FC = Fixed Costs

CM = Contribution Margin

VC = Variable Costs

57. As projected net income increases the

- | |
|---|
| a. degree of operating leverage declines. |
| b. margin of safety stays constant. |
| c. break-even point goes down. |
| d. contribution margin ratio goes up. |

58. A company uses regression analysis to develop a cost formula for predicting production costs. The company's accountant is considering two different cost drivers (machine hours and direct labor hours) as the independent variable [x]. The analysis showed the following results:

<u>Independent Variable</u>	<u>Y-intercept</u>	<u>Slope (b)</u>	<u>r</u>	<u>r²</u>
Machine hours	₱60,000	12	0.85	0.72
Direct labor hours	70,000	10	0.95	0.90

Which cost formula should be used?

- a. Cost = 30,000 + 12x
 - b. Cost = 70,000 + 10x
 - c. Cost = 30,000 + 0.85x
 - d. Cost = 50,000 + 7.60x
59. For its most recent fiscal year, a company reported that its contribution margin was equal to 40 percent of sales and that its net income amounted to 10 percent of sales. If its fixed costs for the year were ₱60,000, how much were sales?
- a. ₱150,000
 - b. ₱200,000
 - c. ₱600,000
 - d. can't be determined from the information given
60. A company incurs annual fixed costs of ₱250,000 in producing and selling its product. Estimated unit sales for 2026 are 125,000. An after-tax income of ₱75,000 is desired by management. The company projects its income tax rate at 40 percent. What is the maximum amount that the company can expend for variable costs per unit and still meet its profit objective if the sales price per unit is estimated at ₱7?
- a. ₱4.37
 - b. ₱4.59
 - c. ₱4.00
 - d. ₱4.70
61. Correlation is a term frequently used in conjunction with regression analysis and is measured by the value of the coefficient of correlation *r*. The value of *r*
- a. is always positive.
 - b. is always negative.
 - c. is a measure of the relative relationship between two variables.
 - d. ranges in size from negative one to zero.
62. When the interest rate is extremely high,
- a. there is no cost to holding money because its purchasing power remains constant.
 - b. the supply of money will be relatively small.
 - c. the opportunity cost of holding money is high.
 - d. the opportunity cost of holding money is low.
63. It is the practice of helping organizations to improve their performance, primarily through the analysis of existing organizational problems and development of plans for improvement.
- a. Accounting
 - b. Management Consulting
 - c. Total Quality Management
 - d. Auditing
64. Which of the following is not a characteristic of MAS?
- a. In MAS engagements, the nature of work involved requires a lesser need for junior assistance.
 - b. A wider variety of assignments are encountered in MAS than in audit engagements.
 - c. MAS engagements are recurring.
 - d. In MAS, actions to be taken are identified, the benefits of which will be received in the future.
65. Which of the following statements is true?
- a. The management information system is part of an organization's accounting system.
 - b. The cost accounting system is part of an organization's overall accounting system.
 - c. Management accounting accumulates cost information for both cost accounting and financial accounting.

- d. Two primary hallmarks of cost and management accounting are standardization of procedures and use of generally accepted accounting principles.
66. A company has two product lines – Product A and Product B. The company's customer support department entertains customer inquiries and complaints through telephone calls. Last month, the department handled 5,000 calls and incurred costs of ₱175,000. If 3,550 of these calls were for the company's Product A, costs allocated to Product B were
- a. ₱124,250
 - b. ₱175,000
 - c. ₱50,750
 - d. ₱ 35
67. Variance analysis should be used
- a. as the only source of information for performance evaluation.
 - b. to understand why variances arise.
 - c. to encourage employees to focus on meeting standards.
 - d. to administer appropriate disciplinary action to employees that do not meet standards.
68. Which of the following statements is not correct?
- a. All other factors remaining constant, a 10% decrease in the selling price of a given product will have the same effect on profit as a 10% increase in the unit variable cost of such product.
 - b. Other things as they are, a P10,000 decrease in fixed costs will increase operating profit by the same amount.
 - c. A change in the amount of fixed costs will not affect the ratio of variable costs to sales.
 - d. A change in fixed costs has no effect on the contribution margin.
69. Product costs or inventoriable costs
- a. are charged to expense when products become part of the finished goods inventory.
 - b. include only the prime costs of producing a product.
 - c. are treated as assets before the products are sold.
 - d. include only the conversion costs of producing the products.
70. Measures of the economic activity of an entire nation would be included in the study of
- a. Microeconomics
 - b. International economics
 - c. Macroeconomics
 - d. Governmental economics

- The End -